Employee Handbook

RAG Testing Edition — Comprehensive Policy Reference

This handbook contains ten distinct policy chapters, each written with full explanatory paragraphs to support retrieval-augmented generation (RAG) testing. Each chapter covers a unique topic with no repetition of content across sections.

Chapter 1: Annual Leave Policy

This chapter provides comprehensive guidance on annual leave policy, covering entitlements, processes, responsibilities, and compliance requirements applicable to all employees.

1.1 Leave Entitlement and Accrual

All permanent employees of the organisation are entitled to 24 days of paid annual leave per calendar year, accrued at a rate of 2 days per month of completed service. Part-time employees receive leave on a pro-rata basis calculated against their contracted weekly hours. New joiners who commence employment after the first day of any month begin accruing leave from the following month. Contractual leave entitlement is distinct from public holidays, which are granted separately in accordance with the applicable state government gazette notifications. Employees should note that the entitlement resets on the 1st of January each year and does not automatically roll over unless specific carry-forward provisions are invoked.

1.2 Carry-Forward and Lapse Rules

Employees may carry forward a maximum of 10 unused annual leave days into the subsequent calendar year. Any leave balance exceeding this threshold as of December 31st will lapse without compensation unless the employee can demonstrate, with documented evidence, that the leave could not be taken due to critical project commitments or a management directive to remain available. In such exceptional cases, the HR department, upon written recommendation from the concerned department head, may grant a one-time extension of up to 30 additional days for the carry-forward period. Encashment of unused leave is only available upon resignation, retirement, or termination of service and will be calculated based on the employee's last drawn basic salary.

1.3 Leave Application and Approval Process

Employees are required to submit leave requests through the designated HR information system at least 5 working days prior to the intended leave commencement date. For leave durations exceeding 10 consecutive days, a minimum of 15 days advance notice is mandatory to allow for adequate work handover planning. All requests are subject to manager approval, which must be granted or rejected within 2 working days of submission. Managers are expected to consider team capacity, project deadlines, and seasonal business demands when reviewing requests. In cases where a manager rejects a leave application, the employee has the right to escalate the matter to the HR Business Partner, who will mediate and issue a final decision within 3 working days. Emergency leave may be applied for retrospectively within 2 working days of returning to work, supported by appropriate documentation.

1.4 Department Note — Escalation & Budget

> Escalation Level: 2 | Budget Threshold: Rs 10,000 | Review Cadence: Quarterly | Audit Requirement: Standard compliance audit with leave balance reconciliation. Departments must maintain leave utilisation reports and flag any employee with a leave balance exceeding 20 days by September 30th for proactive scheduling.

Chapter 2: Sick Leave Policy

This chapter provides comprehensive guidance on sick leave policy, covering entitlements, processes, responsibilities, and compliance requirements applicable to all employees.

2.1 Sick Leave Entitlement

Every confirmed employee is entitled to 12 paid sick leave days per calendar year. Sick leave is non-accruing and does not carry forward to the next year; any unused sick leave days at year-end are forfeited without encashment. Probationary employees who have not yet received confirmation of employment are entitled to a reduced allotment of 6 paid sick leave days during their probation period. Sick leave may be taken in half-day increments when medically advised, subject to manager notification before the working day begins. Employees on extended sick leave beyond their entitlement may apply for leave without pay after obtaining written consent from their reporting manager and the HR department.

2.2 Medical Documentation Requirements

For any illness-related absence lasting more than 3 consecutive working days, employees are required to submit a medical certificate issued by a registered medical practitioner to the HR department within 2 working days of returning to work. The certificate must specify the nature of illness at a general level (e.g., viral fever, orthopaedic injury), the recommended rest period, and the practitioner's registration number. In cases where employees are hospitalised, a discharge summary from the treating hospital is acceptable as an alternative to a standard medical certificate. The organisation reserves the right to request a second medical opinion from an empanelled physician if the pattern of sick leave usage raises concern, such as frequent single-day absences occurring consistently on Mondays or Fridays.

2.3 Sick Leave and Other Leave Interactions

Sick leave cannot be clubbed with casual leave or privilege leave to extend an absence period unless supported by a medical certificate covering the entire duration. If an employee falls ill during a period of approved annual leave, they may apply to convert those days to sick leave, provided a medical certificate is submitted promptly. Sick leave taken immediately before or after a public holiday will require a medical certificate regardless of the duration. Chronic or recurring medical conditions that result in frequent sick leave usage will be managed collaboratively between the HR department, the employee's manager, and the occupational health team to develop a reasonable accommodation plan where feasible.

2.4 Department Note — Escalation & Budget

> Escalation Level: 3 | Budget Threshold: Rs 20,000 | Review Cadence: Quarterly | Audit Requirement: Sick leave pattern analysis conducted bi-annually. HR is required to flag departments where aggregate sick leave utilisation exceeds 80% of the collective entitlement within the first half of the calendar year.

Chapter 3: Remote Work Policy

This chapter provides comprehensive guidance on remote work policy, covering entitlements, processes, responsibilities, and compliance requirements applicable to all employees.

3.1 Remote Work Eligibility and Frequency

The organisation supports flexible working arrangements and permits eligible employees to work remotely for up to 3 days per week. Eligibility is contingent upon the employee having completed a minimum of 6 months of service, receiving a satisfactory performance rating in their most recent review cycle, and holding a role whose deliverables can be effectively managed outside a physical office environment. Roles requiring regular physical presence — such as facilities management, hardware support, or client-facing reception — are excluded from the remote work programme. Employees must formally enrol in the programme through their HR portal and receive written approval from their department head before commencing any remote working arrangement.

3.2 Core Hours, Availability, and Communication Standards

Regardless of work location, all employees are expected to be fully reachable and responsive during core working hours of 10:00 AM to 4:00 PM in their designated time zone. Outside these hours, employees on flexible schedules are expected to complete their remaining hours within a reasonable window that aligns with their team's operational needs. All remote workers must maintain a professional background and environment during video calls, ensure a stable internet connection of at least 10 Mbps upload/download, and keep their company-issued device in compliance with the organisation's security policies. Response time expectations during core hours are identical to those applicable in the office; failure to respond within 30 minutes to business-critical communications during this window may be treated as a productivity concern.

3.3 Manager Discretion and Office Attendance Requirements

Managers retain full authority to require office attendance at any time when business circumstances demand it, including but not limited to onboarding of new team members, critical project milestones, client visits, board presentations, compliance audits, or team-building events. A minimum of 48 hours' notice will ordinarily be provided when recalling remote workers to the office, except in genuine emergencies. During periods designated as critical delivery phases — which must be formally declared by the department head and communicated in writing — all remote work privileges may be suspended for up to 4 consecutive weeks. Such suspension decisions must be reviewed by HR to ensure consistency and fairness of application across teams.

3.4 Department Note — Escalation & Budget

> Escalation Level: 4 | Budget Threshold: Rs 30,000 | Review Cadence: Quarterly | Audit Requirement: Remote work compliance spot checks conducted every quarter, including verification of VPN usage logs, core-hours connectivity records, and equipment security patch compliance.

Chapter 4: Information Security Policy

This chapter provides comprehensive guidance on information security policy, covering entitlements, processes, responsibilities, and compliance requirements applicable to all employees.

4.1 Password Management and Access Controls

All employees are required to set strong, unique passwords for every system they access, adhering to the organisation's minimum complexity requirements: at least 12 characters, including uppercase and lowercase letters, numerals, and at least one special character. Passwords must be rotated every 90 days without reuse of the previous 12 passwords. Employees are strictly prohibited from sharing passwords with colleagues, storing passwords in plain text documents, or using personal email accounts to transmit credentials. The IT department provisions access credentials through a centralised identity management platform, and all access rights are subject to a quarterly role-based access review. Employees who suspect their credentials have been compromised must notify the IT helpdesk immediately and change all affected passwords within 2 hours of the suspected event.

4.2 Multi-Factor Authentication (MFA) Requirements

Multi-factor authentication is mandatory for all employees accessing any organisational system, whether from within the office network or remotely. MFA must be configured on all corporate email accounts, HR portals, ERP systems, cloud storage platforms, and collaboration tools. The accepted second factors include authenticator applications (such as TOTP-based apps), hardware security keys, or SMS-based one-time passwords, listed in order of organisational preference. Employees who lose access to their second factor must report the issue to IT Security within 1 business hour, and temporary access may only be granted through a formal identity verification process conducted in person or via a pre-registered backup method. Attempting to bypass MFA by manipulating browser sessions, using legacy authentication protocols, or coercing IT staff will be treated as a serious disciplinary matter.

4.3 Incident Reporting and Phishing Response

Any employee who receives a suspicious email, detects unusual system behaviour, discovers a potential data breach, or encounters an attempted social engineering attack must report the incident to the IT Security team within 1 business day using the designated security incident reporting portal. Prompt reporting is critical to contain threats before they propagate. Employees who click on phishing links or inadvertently disclose credentials are encouraged to report without fear of punitive action, provided the incident is disclosed voluntarily and promptly; the organisation prioritises security outcomes over blame. The IT Security team will investigate all reported incidents, classify them by severity, and respond in accordance with the organisation's Incident Response Plan, which is reviewed and updated annually.

4.4 Department Note — Escalation & Budget

> Escalation Level: 5 | Budget Threshold: Rs 40,000 | Review Cadence: Quarterly | Audit Requirement: Annual external penetration test and internal vulnerability assessment. Security awareness training completion must be tracked and reported to the CISO dashboard monthly.

Chapter 5: Travel and Expense Policy

This chapter provides comprehensive guidance on travel and expense policy, covering entitlements, processes, responsibilities, and compliance requirements applicable to all employees.

5.1 Accommodation and Hotel Reimbursement

Employees travelling on official business may claim hotel accommodation expenses up to a maximum of Rs 10,000 per night for domestic travel. For travel to metropolitan cities designated as Tier-1 locations — including Mumbai, Delhi, Bengaluru, Chennai, and Hyderabad — this cap may be reviewed on a case-by-case basis by the Finance Controller if documented evidence shows that accommodation within the cap is unavailable due to special events or high-demand periods. International travel accommodation is governed by a separate schedule of city-specific limits published annually by the Finance department. Employees are expected to book accommodation through the organisation's preferred travel management company to avail of negotiated rates; self-booked accommodation that exceeds the applicable cap will not be reimbursed for the excess amount.

5.2 Meal Allowances and Incidental Expenses

Daily meal expenses during official travel are reimbursable up to Rs 2,000 per day for domestic travel. This limit is inclusive of all meals — breakfast, lunch, and dinner — as well as non-alcoholic beverages. Alcohol expenses are not reimbursable under any circumstances, regardless of the nature of the business engagement. Incidental expenses such as laundry (for travel exceeding 3 nights), local conveyance by metered taxi or app-based cab services, and tips at restaurants up to 10% of the bill are reimbursable within the daily limit. Employees are expected to exercise prudence and economy, choosing reasonably priced dining options; lavish entertainment expenses will be disallowed even if within the daily cap if they appear disproportionate to the business purpose.

5.3 Expense Reporting and Reimbursement Timeline

All travel expense claims must be submitted through the Finance portal within 15 calendar days of the completion of the trip. Claims submitted after this period require written justification approved by the employee's department head; claims older than 45 days will not be processed regardless of justification. Each claim must be accompanied by original receipts or e-invoices for all expenses above Rs 200, a completed travel expense form with business purpose clearly stated, and the approved travel authorisation number. Reimbursements are processed in the monthly payroll cycle; claims submitted before the 20th of the month will be reimbursed in the same month's payroll. Employees with outstanding advances are required to settle or account for them before submitting new claims.

5.4 Department Note — Escalation & Budget

> Escalation Level: 1 | Budget Threshold: Rs 50,000 | Review Cadence: Quarterly | Audit Requirement: Random sampling of 15% of all travel claims per quarter for receipt verification and business purpose validation. Departments exceeding quarterly travel budgets by more than 20% must present a variance explanation to Finance.

Chapter 6: Learning and Development Policy

This chapter provides comprehensive guidance on learning and development policy, covering entitlements, processes, responsibilities, and compliance requirements applicable to all employees.

6.1 Annual Learning Budget and Eligible Expenditures

To foster a culture of continuous learning, the organisation allocates an annual learning budget of Rs 50,000 per employee. This budget may be utilised for a wide range of professional development activities, including online courses, technical certifications, workshops, seminars, industry webinars, and purchase of professional books or learning subscriptions directly relevant to the employee's current role or planned career trajectory. Employees in their first year of service may access up to 50% of this budget after completing 6 months of service. Unused learning budget does not carry forward to the next calendar year and will lapse on December 31st. Employees are encouraged to use this budget proactively; HR will send reminders at the mid-year mark to those who have utilised less than 30% of their allocation.

6.2 Certification Reimbursement and Sponsorship

Technical and professional certifications that are directly aligned with the employee's job function or the organisation's technology roadmap may be fully reimbursed with prior manager approval, provided the total cost falls within the annual learning budget. For high-value certifications exceeding the annual budget — such as advanced cloud architecture certifications, professional project management credentials, or specialised legal qualifications — employees may apply for additional sponsorship from the department's training budget, subject to department head and HR approval. Where the organisation sponsors a certification costing more than Rs 25,000, the employee is required to sign a retention agreement committing to remain with the organisation for a minimum of 12 months following the certification date, failing which a pro-rata recovery of the sponsorship amount will be applicable.

6.3 Conference Attendance and Knowledge Sharing

Attendance at industry conferences, both domestic and international, requires approval from the department head and must be requested at least 4 weeks in advance to allow for budget planning. The expected outcome of conference attendance is not merely personal development but also formal knowledge transfer to the team; employees are required to conduct an internal session sharing key learnings within 2 weeks of returning. Travel and accommodation for conference attendance will be managed in accordance with the Travel and Expense Policy. Employees who present papers or represent the organisation at conferences may apply for additional recognition allowances as defined in the Rewards and Recognition Policy. The L&D; team maintains a centralised conference calendar and can advise employees on relevant upcoming events.

6.4 Department Note — Escalation & Budget

> Escalation Level: 2 | Budget Threshold: Rs 60,000 | Review Cadence: Quarterly | Audit Requirement: Annual L&D; effectiveness survey. Training completion rates, certification outcomes, and ROI assessments must be submitted to the HR Analytics team by January 31st of the following year.

Chapter 7: Performance Management Policy

This chapter provides comprehensive guidance on performance management policy, covering entitlements, processes, responsibilities, and compliance requirements applicable to all employees.

7.1 Goal Setting and Continuous Feedback

The performance management cycle begins at the start of each calendar year with a structured goal-setting exercise. Every employee, in consultation with their manager, is required to define between 4 and 6 SMART goals that are aligned with the department's objectives and the organisation's strategic priorities. Goals must be documented in the performance management system by January 31st. Throughout the year, employees and managers are expected to engage in monthly one-on-one conversations to discuss progress, identify blockers, and recalibrate goals if business priorities shift materially. Documented records of these conversations, including agreed action items, must be maintained in the system. The organisation strongly discourages the practice of saving all performance feedback for formal review periods; a culture of real-time, candid, and constructive feedback is actively promoted.

7.2 Mid-Year and Annual Review Process

A formal mid-year review is conducted in June for all employees, providing an opportunity to assess progress against goals, recalibrate expectations for the second half of the year, and identify development priorities. The mid-year review does not result in a rating but informs the year-end assessment. The annual performance review takes place in December, during which employees complete a self-assessment against their goals and competencies, followed by a manager assessment and a calibration discussion within the team. Final ratings are communicated to employees by January 15th of the following year. Employees who disagree with their performance rating may raise a formal review request with HR within 10 working days of receiving the rating, which will be reviewed by an independent panel comprising the skip-level manager and an HR Business Partner.

7.3 Performance Outcomes and Accelerated Progression

Performance ratings are linked directly to merit increments, variable pay payouts, and promotion eligibility. Employees receiving the top two rating categories — 'Outstanding' and 'Exceeds Expectations' — will be considered for merit increases above the standard band. Outstanding performers who have demonstrated consistent excellence over two or more consecutive review cycles, and who are assessed as ready for the next level of responsibility, are eligible for accelerated promotions outside the standard annual promotion cycle. Such promotions require endorsement from the department head and approval from the HR leadership team. Employees rated as 'Requires Improvement' will be placed on a structured Performance Improvement Plan (PIP) with clear milestones and timelines, and will receive dedicated support from their manager and HR throughout the PIP period.

7.4 Department Note — Escalation & Budget

> Escalation Level: 3 | Budget Threshold: Rs 70,000 | Review Cadence: Quarterly | Audit Requirement: Calibration consistency audit conducted post-annual review cycle to detect rating inflation or deflation patterns across departments. Results shared with Senior Leadership Team.

Chapter 8: Employee Benefits Policy

This chapter provides comprehensive guidance on employee benefits policy, covering entitlements, processes, responsibilities, and compliance requirements applicable to all employees.

8.1 Health Insurance Coverage

The organisation provides comprehensive group health insurance to all confirmed employees and their eligible dependents, which include a legally wedded spouse, dependent children up to the age of 25 years, and dependent parents or parents-in-law (one set per employee). The policy provides coverage for hospitalisation expenses, day-care procedures, pre- and post-hospitalisation costs, and ambulance charges up to the limits defined in the group policy document issued annually. The sum insured per family is reviewed each year during the policy renewal exercise and communicated to employees by December of the preceding year. Employees may opt for top-up or super top-up plans at their own cost to enhance coverage, and the HR team facilitates enrolment during the annual benefits window in January. Pre-existing conditions are covered after a 24-month waiting period, as specified in the policy schedule.

8.2 Dental, Vision, and Wellness Benefits

Dental coverage is offered as an optional add-on benefit at a subsidised group premium, which employees may elect during the annual benefits enrolment window or upon joining the organisation. The dental plan covers routine check-ups, cleaning, basic restorations, and extractions; major dental procedures such as orthodontic treatment or implants are covered partially, subject to the plan's sub-limits. Vision coverage, also available as an optional benefit, provides reimbursement for prescription eyeglasses or contact lenses once per year. Beyond insurance, the organisation provides access to an Employee Wellness Programme that includes free mental health counselling sessions (up to 6 per year via a third-party platform), discounted gym memberships at empanelled fitness centres, and quarterly health awareness webinars.

8.3 Life Insurance and Retirement Benefits

All employees are automatically enrolled in a group term life insurance plan, with coverage equal to twice the employee's annual gross salary, effective from the date of confirmation. The nominee designation must be completed through the HR portal within 30 days of joining; failure to designate a nominee will result in the benefit defaulting to the legal heir as determined by applicable succession laws. In addition to life insurance, employees are entitled to Provident Fund contributions as per the Employees' Provident Fund and Miscellaneous Provisions Act, with both employee and employer contributing 12% of basic salary. Employees who meet the eligibility criteria under the Payment of Gratuity Act will receive gratuity upon separation from the organisation, calculated in accordance with the statutory formula.

8.4 Department Note — Escalation & Budget

> Escalation Level: 4 | Budget Threshold: Rs 80,000 | Review Cadence: Quarterly | Audit Requirement: Annual benefits utilisation report submitted to Finance and HR Leadership. Nominee record completeness must be at 100% by March 31st of each year; departments with gaps will receive escalation notices.

Chapter 9: Data Retention and Records Management Policy

This chapter provides comprehensive guidance on data retention and records management policy, covering entitlements, processes, responsibilities, and compliance requirements applicable to all employees.

9.1 Employee Records Retention

Personal and employment records of both current and former employees are retained in accordance with applicable labour laws and data protection regulations. Records pertaining to active employees are maintained for the duration of employment and for a mandatory period of 7 years following the date of separation, regardless of the reason for separation — whether resignation, termination, retirement, or redundancy. These records include employment contracts, offer letters, performance appraisal documents, disciplinary action records, training certifications, and payroll history. Access to former employee records is strictly limited to authorised HR personnel, the Finance department for payroll-related statutory filings, and legal counsel when required for litigation or regulatory purposes. Requests from former employees for copies of their own records are processed in accordance with the applicable data subject access rights provisions.

9.2 Financial Records and Statutory Compliance

All financial records — including accounts payable and receivable ledgers, tax filings, payroll registers, expense claim records, vendor invoices, and statutory compliance filings such as PF, ESI, TDS, and GST returns — must be retained for a minimum period of 10 years from the date of the relevant financial transaction or filing. This retention period aligns with the statute of limitations applicable under the Income Tax Act and the Companies Act for the purposes of tax assessments and corporate audits. Financial records are maintained in a combination of physical and digital formats; digital records must be stored in the organisation's approved document management system with access controls, version history, and audit logging enabled. Physical records must be stored in fireproof cabinets in designated secure rooms with restricted access.

9.3 Audit Logs and System Records

System-generated audit logs — including user access logs, login and logout records, data modification logs, system configuration changes, and security event logs — are retained for a period of 3 years. This retention period is designed to support internal audits, regulatory examinations, security incident investigations, and forensic reviews. Audit logs are stored in an immutable format in the organisation's SIEM (Security Information and Event Management) platform to prevent tampering. Automated alerts are configured to notify the IT Security team if any log file is modified, deleted, or if logging services are interrupted for more than 15 minutes. Department heads are responsible for ensuring that business-critical system activities within their purview are captured in logs; any identified gaps in logging coverage must be reported to IT Security for remediation.

9.4 Department Note — Escalation & Budget

> Escalation Level: 5 | Budget Threshold: Rs 90,000 | Review Cadence: Quarterly | Audit Requirement: Annual data retention compliance audit conducted by Internal Audit. Departments must certify compliance with the retention schedule by submitting a signed attestation to the Legal and Compliance team by February 28th each year.

Chapter 10: Procurement and Vendor Management Policy

This chapter provides comprehensive guidance on procurement and vendor management policy, covering entitlements, processes, responsibilities, and compliance requirements applicable to all employees.

10.1 Procurement Authorisation and Approval Thresholds

All purchases of goods and services on behalf of the organisation must follow the established procurement approval hierarchy to ensure financial control and accountability. Purchases valued at up to Rs 25,000 may be approved by the employee's reporting manager. Purchases between Rs 25,001 and Rs 1,00,000 require department head approval in addition to manager sign-off. Any purchase exceeding Rs 1,00,000 requires director-level approval, and for purchases above Rs 5,00,000, the approval of the Chief Financial Officer is mandatory before any commitment is made to a vendor. Retrospective approvals — i.e., seeking approval after a purchase has been made — are not permitted and will be treated as a policy violation. Employees who commit the organisation to expenditure without obtaining the requisite prior approvals may be held personally liable for the resulting financial obligation.

10.2 Preferred Vendor Programme and Vendor Onboarding

The organisation maintains a list of preferred vendors who have been pre-qualified through a rigorous onboarding process covering financial due diligence, legal compliance verification, quality assessment, and data security evaluation. Employees are required to source goods and services from preferred vendors whenever a qualified vendor is available for the required category. Using a non-preferred vendor requires a written exception approval from the Procurement team, supported by a justification explaining why the preferred vendor cannot fulfil the requirement. New vendors may be nominated by any employee through the Vendor Nomination Form available on the intranet; the Procurement team will initiate the onboarding evaluation process, which typically takes 4–6 weeks. The preferred vendor list is reviewed and updated semi-annually; vendors who fail to meet quality or compliance benchmarks will be removed and notified in writing.

10.3 Competitive Quotation and Tendering Requirements

For all purchases above Rs 50,000 that are not covered by an existing framework agreement with a preferred vendor, employees must obtain a minimum of 3 competitive quotations from eligible vendors before making a selection. The selection must be based on a documented evaluation that considers price, quality, delivery timeline, after-sales support, and the vendor's compliance track record. The lowest-price quote need not be selected; however, if a higher-priced option is chosen, a clear written justification must accompany the purchase requisition. For purchases exceeding Rs 5,00,000, a formal tendering process must be conducted by the Procurement team, including issuance of a Request for Proposal (RFP), a structured evaluation by a cross-functional committee, and a final award decision documented in a Vendor Evaluation Report. All evaluation records must be retained for a minimum of 5 years for audit purposes.

10.4 Department Note — Escalation & Budget

> Escalation Level: 1 | Budget Threshold: Rs 1,00,000 | Review Cadence: Quarterly | Audit Requirement: Procurement compliance audit conducted quarterly, reviewing a sample of at least 25% of all purchase orders raised in the period. Findings are reported to the Audit Committee. Preferred vendor utilisation rate must be maintained above 80% at the department level.